

Chapter – 14: Economic Activities Around Us

The root of prosperity is economic activity, the lack of it brings material distress. The absence of fruitful economic activity endangers both current prosperity and future growth. — Kautilya's Arthaśhāstra

Introduction

- Ch-13 – 2 types of activities – economic and non-economic – economic – create **monetary values**
- Also learnt – imp. – non-economic activities
- Understand better – how – eco. act. – classified and differentiated – this chapter
- Over decades – eco. act. – increased too much
- Earlier – most people – act. – agriculture, livestock, rearing, weaving, production – tools, pottery
- Societies progressed – no. of eco. act. people earn – livelihoods – increased
- Today – diverse act. – manufacture – comp., mob., drones, etc. – working – banks, schools, hotels – driving – soft. development – repairing elec., etc.
- Classifying act. – helps – understand – their func. and links with each other

The Classification of Economic Activities into Economic Sectors

- Some eco. act. – similar characteristics – grouped together – broader grps. – **economic sectors**
- 3 main sectors –
 - Primary – agriculture, mining, fishing, raising livestock, forestry
 - Economic – construction, manufacturing, water supply, solar power, elec. Production
 - Tertiary – healthcare, trade and logistics, communication, banking, transportation

Primary Activities

- Eco. act. – people – directly depend on nature – produce goods – **primary sector eco. act.**
- Example – work involving – cultivating fields, collecting wood, extracting coal, fisheries, poultry farms, etc.
- Most common primary act. – agriculture, mining, fisheries, raising livestock, forestry, etc.

Secondary Activities

- Eco. act. – people – depend on output – primary sector – transform them – produce goods – **secondary sectors eco. act.**
- Construction of buildings, roads – providing utilities – water, elec., gas
- Also includes – manufacture products – factories – process raw material – other forms – consumed / sold further
- Some examples –
 - Processing grains – make flours
 - Extract oil – groundnuts
 - Processing tea leaves – obtain tea
 - Wood – converted – furniture, paper
 - Cotton – used – make clothes
 - Steel – iron ore – automobiles – cars, trucks, etc.

Tertiary Activities

- Eco. act. – provide support – people involved – primary, secondary act. – **tertiary sector eco. act.**
- These services – may not be able to see – BUT – play imp. roles
- Example – driver of truck – transport grains, vegetables – farm, factory to market
- Vendors – sell farm produce – household customers
- Doctors, nurses, teachers, lawyers, pilots – provide services
- Technicians – repair, service – elec. items – mob., T.V.s
- Mechanics – repair vehicles – electricians – ensure regular supply – elec.
- Comm. services – mob., internet – soft. Development
- Other services – hotels, restaurants, banks, schools, hospitals, airports, shops, etc.
- Also called – **service sector**

Interdependence Among Sectors

- 3 types – play imp. role – conversion – natural raw material – finished products
- Excursion – Anand dist., Gujarat – study example – understand – 3 sectors – interconnected, support each other

Dairy cooperative: from farm to plate

- These days – farmers – Gujarat – greet the day – clinking – milk pails – happy moos – best friends – cows, buffaloes
- Cows – special place – lives of farmers
- Farmers – milk cows – sell milk – nearby **dairy**
- End of month – get paid – for milk – based on – qty., quality
- 50 yrs. ago – not the case
- This story – milk cooperative – Anand Milk Union Limited (AMUL)
- Early 1940s – farmers – Anand dist. – sell milk – neighbour villages
- Cycle, walk – nearby villages – sell milk – scorching heat
- Milk spoils – very fast – hot weather
- Farmers – sell quickly – too much efforts – very little pay
- Farmers – depend on – middlemen – buy in bulk – low prices – sell to market
- Many times – farmers – felt cheated, harassed
- 1 day – farmers approached – Sardar Vallabhbhai Patel – prominent leader
- He advised – form a **cooperative** – become independent – stop relying on **middlemen**
- As cooperative – farmers – manage entire operation – collection, processing, distribution – themselves
- 1946 – AMUL – set up – leadership – Tribhuvandas Patel (lawyer and freedom fighter) and Dr. Varghese Kurien (engg. – working at dairy factory, Mumbai)
- This initiative – farmers, incl. women – came together – obtain control – production and sale – milk
- Milk producers – made decisions together – all matters – production, **pasteurization**, sale
- Tasks – shared by everyone – income increased – gradually
- No need – middlemen – all of them – one big family
- More farmers – obs. benefits – joined cooperative – it grew
- Qty. of milk – too much – farmers – made other products
- Set up factory – Anand – produce – butter, milk powder
- Today – cooperative – range of products – many factories – all over India
- Products – transported, sold – both small, large **retail** shops
- Also **export** – several countries

- This fascinating story – farmers – milk cows – sell later – *primary sector eco. act.* – product (milk) – derived from natural src. (livestock)
- Milk – processed, converted – one form (liquid) to other – milk powder, ghee, cheese, butter, etc. – *secondary sector eco. act.*
- AMUL – sells these products – various places – uses lorries, trucks, railway, air, shipping services – transport
- Set up retail shops – supplies milk and other products – all over India
- All these – *tertiary activity*

- Milk – reaching your place – not possible – without all 3 sectors – working together